

$$TMOM_t(N) = (MA_t(N) - MA_{t-1}(N)) \frac{N}{x_{t-N}} - rf$$

Step 3 highlights that TMOM and MA are mathematically related, but different. TMOM is a function of a current and a lagged MA rule. A majority of the time, the TMOM and MA rules will indicate the same action, however, the two rules, while similar, are not equal. To visually see how MA and TMOM can come to different conclusions, examine the sample price simulations in [Figure 7.1](#) and [Figure 7.2](#). [Figure 7.1](#) highlights a scenario where MA rules are positive because there hasn't been a sharp downturn, but TMOM is negative because the past 12-month excess performance is negative.